Cambridge (CIE) A Level Business

Your notes

The Nature of Marketing

Contents

- The Role of Marketing
- Demand and Supply
- Markets
- Consumer & Industrial Marketing
- Mass Marketing and Niche Marketing
- Market Segmentation
- Customer Relationship Marketing

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Your notes

Marketing objectives

- Marketing objectives are **clear, measurable targets** that guide a business's marketing efforts
- Marketing objectives can help a business in several ways
  - **Give direction**
    - Teams know exactly what to aim for, avoiding untargeted campaigns that have little chance of success
  - **Allow measurement and learning**
    - The results of marketing activities can be compared with the objective and improved next time
  - **Help win budget and support**
    - Clear, data-backed objectives can reassure senior managers and investors and motivate employees

Examples of marketing objectives

Focus	Definition	Example
Sales volume	▪ The **number of units** sold by a business	▪ **Greggs** sells 140m sausage rolls a year and has set an objective to increase that to 150m next year
Sales value	▪ The **money earned** from sale of units	▪ **Domino's Pizza Group** has set the objective of increasing UK and Ireland sales from £1.57bn in 2023 to £2bn by 2028
Sales growth	▪ The percentage **rise in sales volume or value** over time	▪ One of **Starbucks**' objectives is to achieve 7%–9% yearly sales growth
Market growth	▪ The **increase in the size** of a market as a whole	▪ Vegan businesses **Beyond Meat** and **Oatly** are looking to grow the UK plant-based market to 9.6% by 2027

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Market share	▪ The portion of a market controlled by a particular company, brand or product	▪ **Samsung**'s objective is to maintain its position as the number one smartphone brand, with a 20% global market share
Brand loyalty	▪ The share of customers who **rebuy** and **recommend** a business, brand or product	▪ **Nike**'s objective to build brand loyalty relies on its NikePlus programme members, who spend much more than non-members do

Your notes

Marketing and corporate objectives

- **Corporate objectives** are whole-business goals set by senior managers that give a business its overall direction
  - Examples may include
    - 'Raise profit by 15 % within two years'
    - 'Become the most sustainable clothing brand in Asia
- They are **translated into marketing objectives** that focus on promotional activity, pricing strategy, distribution and product features
  - Every advert, price or product change supports the business achieving its corporate objective
  - If they do not, money and resources are wasted

Case Study

LEGO's Rebuild the World campaign

Corporate objective

- After sales slipped in 2017, LEGO's directors set a clear objective to increase revenue by 5% by the end of 2019

Marketing objective

- The marketing function promised to increase the volume of sales by at least 5% by launching a bright, imagination-focused campaign called Rebuild the World

Marketing tactics

- A fun TV and YouTube advert, giant LEGO statues in city centres, and the hashtag #RebuildTheWorld encouraged fans worldwide to share their own creations online

Result

- In 2019 consumer sales rose by 5.6%, and the campaign attracted over 100 million views, delivering exactly the growth the directors wanted

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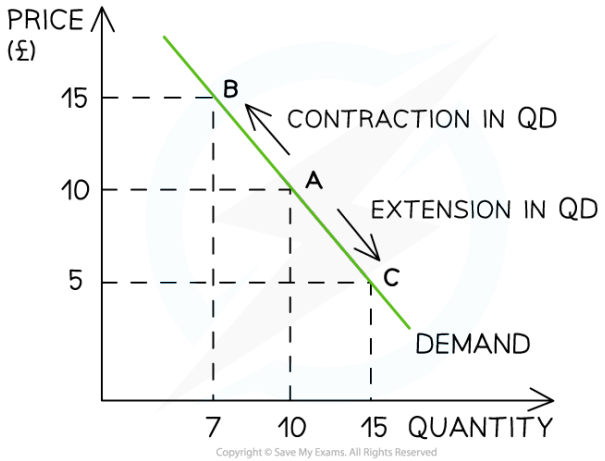
Factors influencing demand

- Demand refers to the **number of goods or services customers are willing and able to buy** at a given price
- There is an **inverse relationship** between the quantity demanded by customers and price
  - As price increases, the quantity demanded decreases
  - As **price decreases, the quantity demanded increases**
  - Hence the **demand curve slopes downwards** from left to right
- This is illustrated in the diagram below

A simple demand curve



A demand curve showing how a change in price will lead to a change in quantity demanded (QD)

- An **increase** in price from £10 to £15 leads to a movement **up** the demand curve from point A to B
  - Due to the **increase** in price, the quantity demanded (QD) has **fallen** from 10 to 7 units
- A **decrease** in price from £10 to £5 leads to a movement **down** the demand curve from point A to point C
  - Due to the **decrease** in price, the QD has **increased** from 10 to 15 units

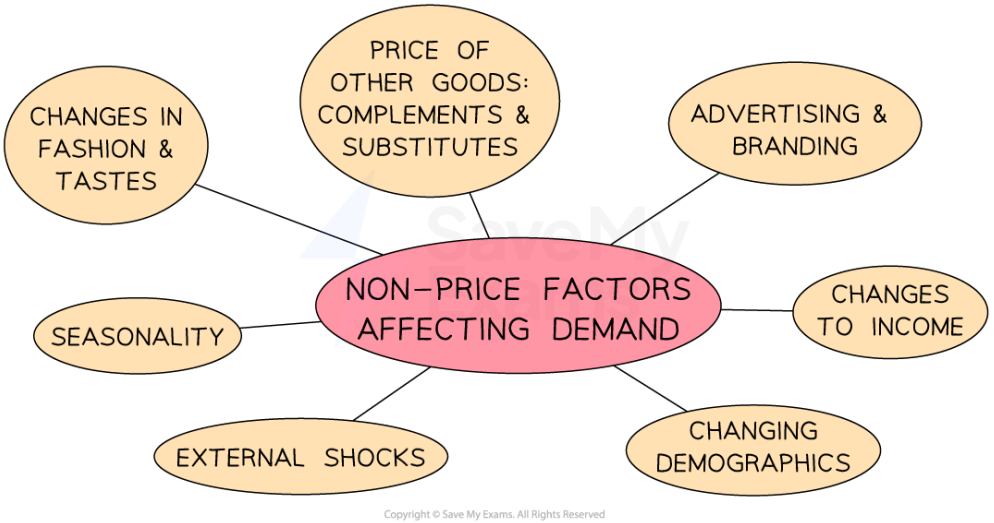
Factors leading to a change in demand

- A change in price leads to a **movement along the demand curve**

- However, a change in any other factors affecting demand will **shift the entire demand curve** to the **left or right**
  - These are called **non-price factors affecting demand**

Your notes

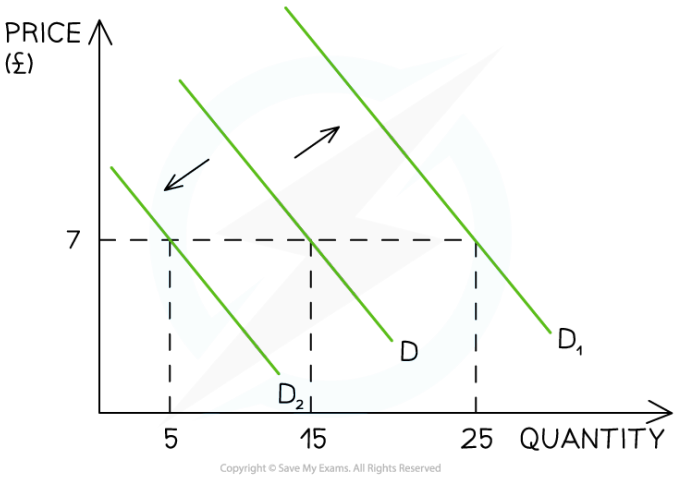
Non-price factors affecting demand



The non-price factors affecting demand result in a shift of the entire demand curve

- For example, if a firm **increases** its **Instagram advertising**, there will be an **increase in demand** as more consumers become aware of the product
  - This is a **shift in demand** from D to D_1. The price remains unchanged at £7 but the **demand has increased** from 15 to 25 units

Illustreating changes in non-price factors



A change in any non-price factor will lead to a change in the position of the demand curve

- The initial demand curve is seen at D
  - At a price of £7, 15 units are demanded

- If **price remains constant** at £7 **but demand decreases** due to one of the non-price factors of demand (e.g. decreasing incomes), the **entire demand curve** shifts to the left from D to D_2
  - Demand has **decreased** from 15 units to 5 units
- If **price remains constant** at £10 **but demand increases** due to one of the non-price factors of demand (e.g. increased advertising expenditure), the **entire demand curve** shifts to the right from D to D_3
  - Demand has **increased** from 15 units to 25 units

Your notes

Non-price factors affecting demand

Non-price Factor	Explanation	Example
Change in the price of substitutes	▪ Substitute goods are **replacement goods**, e.g. different brands of car	▪ If the **price of VW cars increases,** demand for Ford cars might rise ▪ This shifts the demand curve for **Ford cars** to the right
Change in the price of complementary goods	▪ Complementary goods are **goods** that are **consumed together**	▪ **Cars and petrol:** if the **price of petrol rises,** the demand for cars may fall ▪ This shifts the demand curve for **cars** to the left
Change in consumer incomes	▪ As a **consumer's income rises**, demand for **normal goods**) increases	▪ **Demand for branded goods**, e.g. Superdry hoodies, tends to increase as **consumer incomes rise** ▪ This shifts the demand curve for **branded goods** to the right
	▪ As a **consumer's income falls**, demand for **inferior goods**) increases	▪ **Demand for own label products**, e.g. supermarket hoodies, tends to rise as **consumer incomes fall** ▪ This shifts the demand curve for **own label goods** to the right

Fashions, tastes and preferences	▪ If products become more fashionable, demand them increases	▪ Plant based foods have become **more popular** in recent years ▪ This shifts the demand curve for **plant based foods** to the right
Advertising and branding	▪ If more money is spent on advertising or branding, then this increases consumer awareness and brand loyalty	▪ **Coca Cola** spends an average of $4bn per year on advertising and branding ▪ This shifts Coca Cola's demand curve to the right and makes demand more **price inelastic**
Demographics	▪ If the **structure or size of a country's population** changes, then the demand for products will also change	▪ **A decrease in the number of babies being born** will reduce the demand for baby products ▪ This shifts the demand curve for **baby products** to the left
Seasonality	▪ Demand varies at different **times of the year**	▪ In cold climates, the demand for **gas and electricity** will fall in the summer months ▪ This shifts the demand curve for **energy** to the left
External shocks	▪ An **unexpected event** can change the demand	▪ The outbreak of **Covid-19** lead to panic buying of goods such as toilet rolls ▪ This shifts the demand curve for **toilet rolls** to the right

Your notes

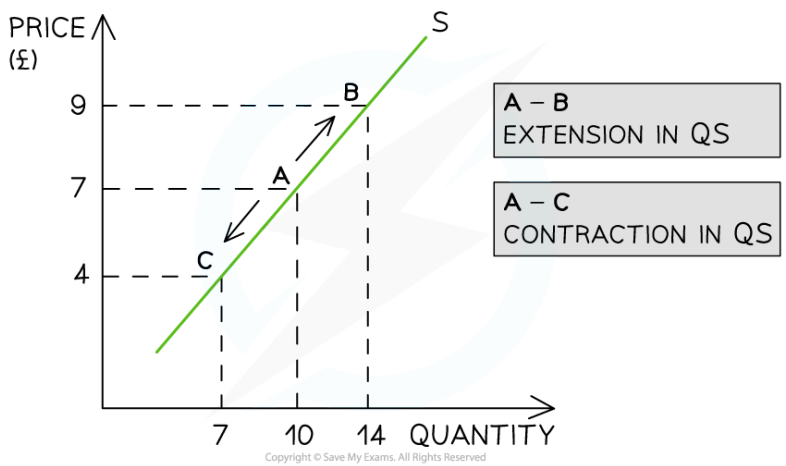
Factors influencing supply

- Supply is the **number of goods or services businesses are willing to sell** at a given price in a specific time period

- There is a direct **relationship between supply and price**
  - As **price increases**, the quantity supplied increases
  - As **price decreases**, the quantity supplied decreases
  - At higher prices, businesses are **incentivised** to supply more of the product
  - Hence the supply curve **slopes upwards** from left to right

Your notes

A simple supply curve



A supply curve showing how a change in price will lead to a change in the quantity supplied (QS)

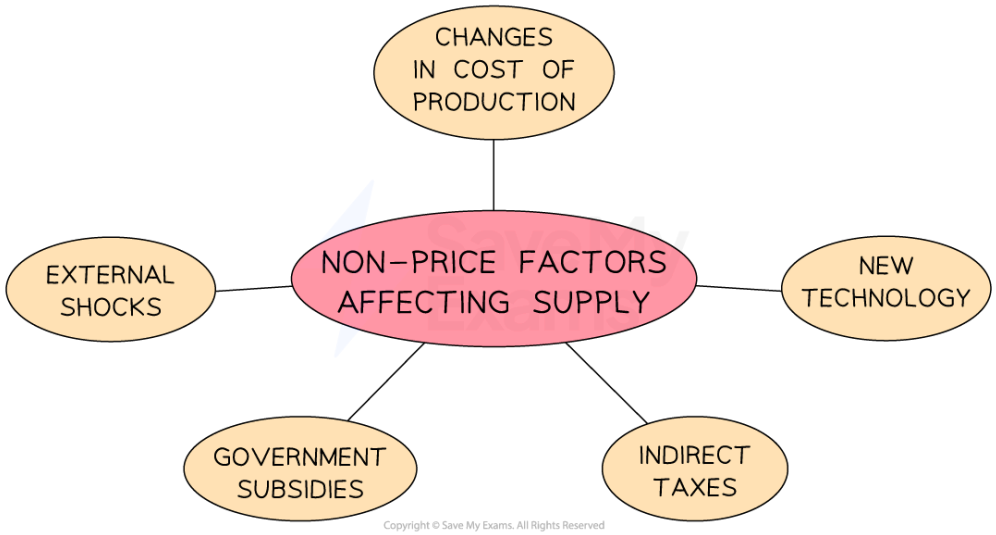
- An **increase** in price from £7 to £9 leads to a move **up** the supply curve from point A to B
  - Due to the **increase** in price, the quantity supplied (QS) has **increased** from 10 to 14 units
- A **decrease** in price from £10 to £7 leads to a movement **down** the supply curve from point A to point C
  - **Due to the decrease in price, the quantity supplied (QS) has decreased from 10 to 7 units**

Factors leading to a change in supply

- A change in price causes a **movement along the supply curve**
- A change in any other factor affecting supply will **shift the entire supply curve** to the left or right
  - These are called **non-price factors affecting the supply**

Non-price factors affecting supply

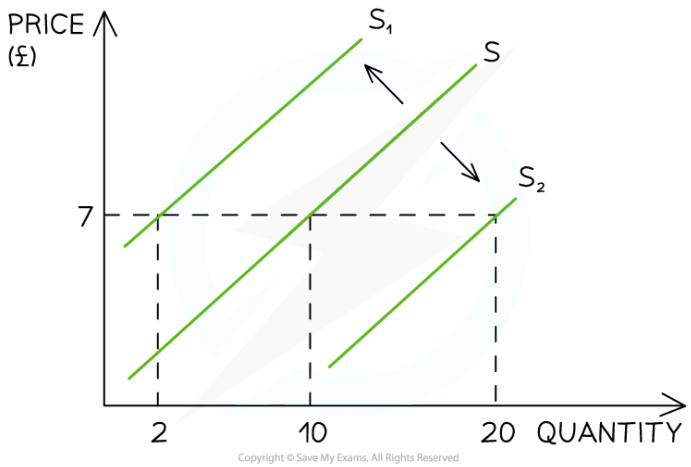
Your notes



Non-price factors include changes in the costs of production, external shocks and indirect taxes

- E.g. If a firm's **costs of production** increase due to the **increase in the price of a key resource**, then there will be a decrease in supply as the firm is unable to afford to produce as many products
- This causes a **shift in supply** from S to S_1. The price remains unchanged at £7 but the **supply has decreased** from 10 to 2 units

Changes in non-price factors



A diagram showing how a change in any non-price factor of supply will shift the entire supply curve left or right

- The initial supply curve is seen at S
  - At a price of £7, 10 units are supplied
- If the **price remains constant** at £7 **but supply decreases** due to one of the non-price factors of supply (e.g. worker's wages increase), the **entire supply curve** shifts to the left

from S to S_1

  - Supply has **decreased** from 10 to 2 units
- If the **price remains constant** at £7 **but supply increases** due to one of the non-price factors of supply (e.g. costs of production fall), the **entire supply curve** shifts to the right from S to S_2

  - Supply has **increased** from 10 to 20 units

Non-price factors affecting supply

Non-price factor	Explanations	Examples
Change in the costs of production	▪ An **increase in costs of production** makes it **more expensive to produce** each unit and a business will be able to produce less at a given price	▪ For a **clothing manufacturer**, an increase in energy and labour costs will increase the costs of making each item ▪ This shifts the supply curve for **clothing** to the left
New technology	▪ **Advances in technology** will **lead to lower costs of production** and businesses will be able to produce more at a given price	▪ **Robots** have replaced many workers in **car factories** and this increases **productivity** ▪ This shifts the supply curve for **cars** to the **right**
Indirect taxes	▪ The government increases indirect taxes on businesses, which causes an **increase in the costs of production** as firms have to pay extra costs	▪ The rate of **VAT increased from 17.5% to 20%** in the UK in 2011 ▪ This shifts the supply curve **for all businesses to the left**
Government subsidies	▪ A **subsidy** given by the government to businesses **will reduce the costs of production**	▪ A subsidy to the largest battery producer in the UK lowers the costs of production for **electric car manufacturers** ▪ This shifts the supply curve for **electric vehicles** to the **right**
External shocks	▪ An **unexpected event** can change the supply	▪ The **outbreak of Covid-19** caused many hotels, bars, and restaurants to close down

Your notes

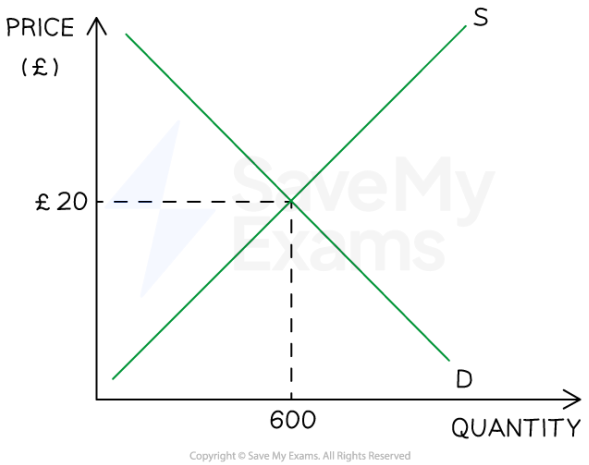
		▪ This shifts the supply curve for **hotels, bars, and restaurants** to the **left**

Your notes

Interactions between demand, supply and price

- In a market, prices for goods/services are determined by the **interaction of demand & supply**
- A **market** is any place that brings **buyers** & **sellers** together to trade at an agreed price
  - Markets can be **physical** (e.g. McDonald's) or **virtual** (e.g. eBay)
  - Buyers agree on the price **by purchasing** the good/service
  - If they do not agree on the price then they **do not purchase** the good/service
- Based on this interaction with buyers, **sellers** will gradually **adjust their prices** until there is an **equilibrium price** and **quantity** that works for both parties
  - At the equilibrium price, **sellers** will be satisfied with the **rate/quantity** of sales
  - At the equilibrium price, **buyers are satisfied** that the product provides benefits worth paying for

Equilibrium



A graph showing a market in equilibrium with a market clearing price at P and quantity at Q

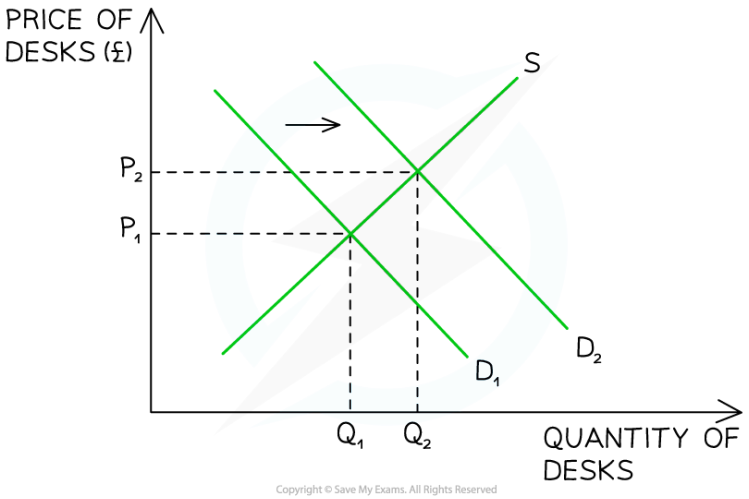
- If the price is set at £20, demand will equal supply and **equilibrium** is reached
  - 600 units will be demanded and supplied
  - If the price was set above equilibrium, **supply would be greater** than demand and there would be a surplus
  - If the price was set below equilibrium **demand would be greater** than supply and there would be a shortage

Dynamic changes in markets

- There are **4 diagrams** that can be used to show the **causes and consequences** of changes to the non-price factors of demand and supply

Your notes

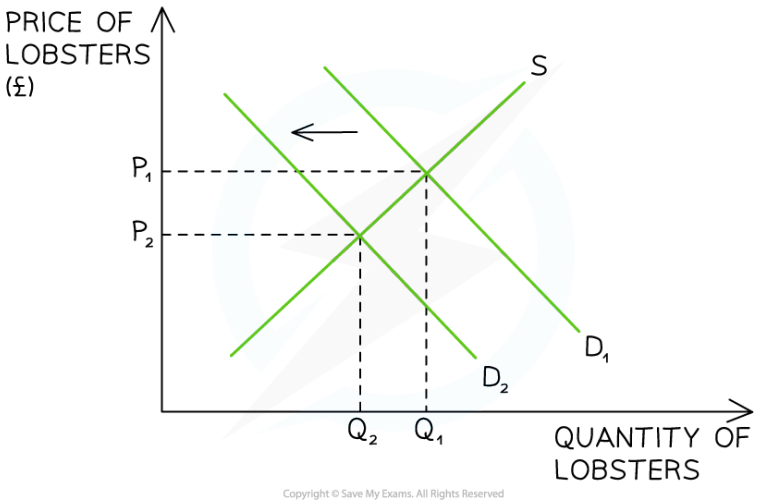
A rise in demand



Supply and demand graph for desks showing a rightward shift in demand from D1 to D2.

- The original equilibrium was at P_1 and Q_1
- A rise in demand causes the demand curve to **shift to the right** from $D_1 \rightarrow D_2$ (perhaps due to an increase in home working)
- At the **original price** of P1, there is **now a shortage** as demand exceeds the supply
- The shortage causes prices to rise from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue (P x Q) has changed from P_1Q_1 to P_2Q_2

A fall in demand

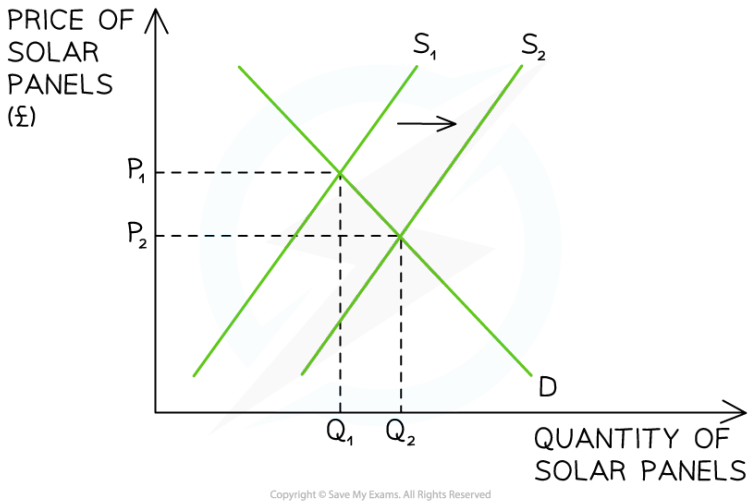


Graph showing supply and demand for lobsters, with a leftward demand shift from D1 to D2

Your notes

- The original equilibrium was at P_1 and Q_1
- A fall in demand causes the demand curve to **shift to the left** from $D_1 \rightarrow D_2$ (perhaps due to an external shock)
- At the **original price** ofP1, there is **now a surplus** as supply exceeds demand
- The surplus causes prices to fall from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue (P x Q) has changed from P_1Q_1 to P_2Q_2

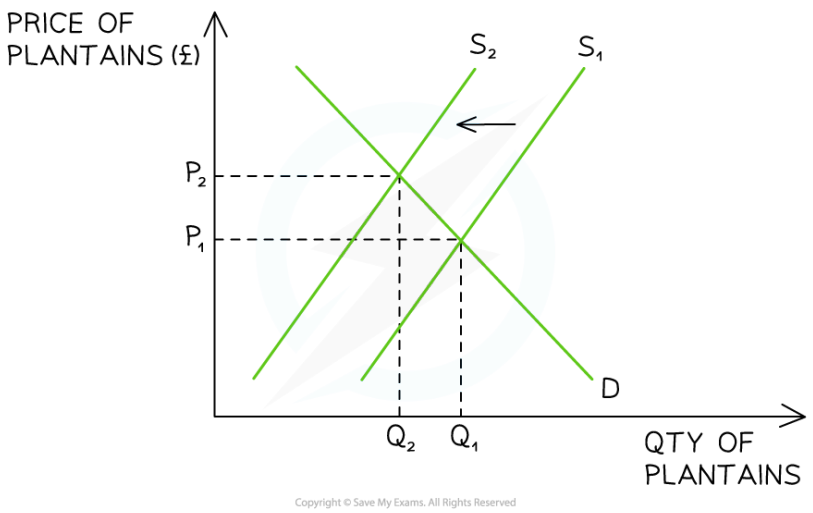
A rise in supply



Supply and demand graph for solar panels, showing shift from supply curve S1 to S2

- The original equilibrium was at P_1 and Q_1
- A rise in supply causes the supply curve to **shift to the right** from $S_1 \rightarrow S_2$ (perhaps due to an increase in productivity)
- At the **original price** of P_1, there is **now a surplus** as supply exceeds demand
- The surplus causes prices to fall from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue (P x Q) has changed from P_1Q_1 to P_2Q_2

A fall in supply



Supply and demand graph for plantains, showing S1 shifting left to S2

- The original equilibrium was at P_1 and Q_1
- A fall in supply causes the supply curve to **shift to the left** from $S_1 \rightarrow S_2$ (perhaps due to an increase in the costs of production)
- At the **original price** of P_1, there is **now a shortage** as demand exceeds the supply
- The shortage causes prices to rise from P_1 to P_2
- A **new equilibrium** develops at a price of P_2 and a quantity of Q_2 units
- The business revenue (P x Q) has changed from P_1Q_1 to P_2Q_2

Examiner Tips and Tricks

When answering questions on changes to markets, remember that a change in the price of the good leads to a movement along the demand or supply curve, not a shift in the demand or supply curve.

Practice drawing and labelling demand and supply diagrams accurately, describing them step-by-step; this will help you gain analysis marks. You can also use demand and supply diagrams to illustrate changes in total revenue.

Your notes

Your notes

Consumer and industrial markets

- An **industrial market** is where businesses sell their products or services to other businesses
  - Goods are not usually for final consumption, but are used to help make other products or to support business operations
  - It is also known as B2B (business-to-business) selling
    - E.g. a company that produces steel may sell it to a car manufacturer
- A **consumer market** is where businesses sell products or services directly to individuals for their own personal use
  - It is often called B2C (business-to-consumer) selling
  - These include markets for goods and services such as clothing, smartphones, fast food or video streaming platforms

Key differences between consumer and industrial markets

Feature	Industrial market	Consumer market
Target customer	▪ Other businesses (B2B – Business to Business)	▪ Individual consumers (B2C – Business to Consumer)
Purchase purpose	▪ For use in production or business activities	▪ For personal or household use
Purchase volume	▪ Usually large (bulk buying)	▪ Usually small (single or few items)
Product type	▪ Often technical or specialised	▪ General, used in daily life
Sales process	▪ Involves negotiation and longer decision-making	▪ Usually quick with less negotiation
Promotion	▪ Personal selling, trade shows, direct contact	▪ Advertising, promotions, social media

Local, national and international markets

- A **local market** is where goods and services are bought and sold within a small geographical area, such as a town or city

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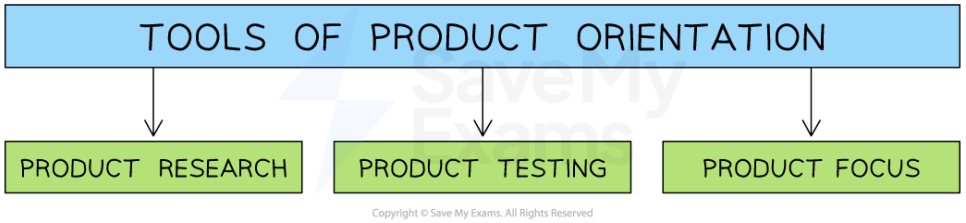
- They serve nearby consumers and are often run by small businesses
    - E.g. a local bakery selling fresh bread to people in the same neighbourhood or a hairdresser serving clients in their local town
- A **national market** is where a business operates and sells its products or services across the entire country
    - Customers can come from anywhere within that country, and businesses use websites, advertising and delivery services to reach a wider audience
        - E.g. **Ale Hop** sells gifts, stationery and homewares through stores and online across the whole of Spain
- An **international market** is where businesses sell their products or services in more than one country
    - Businesses operating in these markets have to deal with different languages, cultures, laws and currencies
        - E.g. **Coca-Cola** sells drinks globally and **Samsung** sells electronics in many different countries

Your notes

Product orientation and customer orientation

Product orientation

- A business with a **product orientation** focuses primarily on **manufacturing a product** rather than the needs of the consumer
    - The emphasis is **on creating a product first** and **then finding a market**
    - Over time, being **too product orientated** means the business may move further and further away from what the market is looking for, thus increasing the risk of business failure
        - E.g. **Gillette**'s razors can be classified as a **product-orientated business** as the business focuses on the quality of its products and regular innovations aimed at increasing sales



Product orientation is an approach often used by inventors who research, test and produce a product well before market research has taken place

Benefits of product orientation

- **Focus on quality and innovation**
    - Businesses can develop high-quality or unique products by concentrating on design and production

- **Strong brand image**
  - Offering something distinctive or well-made can build a strong reputation and brand loyalty
- **Less need for constant market research**
  - Product-oriented firms rely more on internal expertise than customer feedback
- **Efficient production**
  - Standardised products allow for economies of scale and streamlined processes

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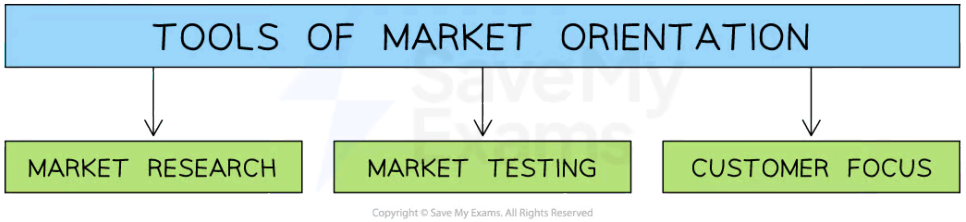
Customer (market) orientation

- **Customer (market) orientation** is a business approach that focuses on the **consumer demand** and designs products that meet customer needs
  - **Consumers** are **at the centre of marketing decisions**
  - Products **are designed to meet consumers' needs**
    - E.g. Universities often develop new courses based on the feedback they receive from students and employers



Market orientation aims to develop products to meet needs identified by consumers during the market research process

Benefits of customer orientation

- **Better customer satisfaction**
  - Products are developed based on what customers actually want and need
- **Stronger customer loyalty**
  - Meeting customer expectations can lead to repeat purchases and positive word-of-mouth
- **Faster response to market changes**
  - Businesses can adapt quickly to changes in tastes, trends, or demand
- **Higher sales potential**
  - Products are more likely to succeed when they're tailored to the target market

Market share and market growth

- **Market share** is the **proportion of the total sales** of a product or service compared to the market as a whole
  - e.g. Tesco has 26% of the UK grocery market
- **Market share** can be calculated using the formula

$$\text{Market share} = \frac{\text{Sales of a business in a time period}}{\text{Total market sales in a time period}} \times 100$$

Your notes

Worked Example

In 2024, the UK coffee shop market was worth £4.8bn. Sales of Starbucks Coffee were £526m in 2024. Using the data, calculate, to 2 decimal places, the market share of Starbucks Coffee in the coffee shop/café market. You are advised to show your workings.

(3)

Step 1: Identify annual sales of Starbucks Coffee

£526m

(3)

Step 2: Identify total market sales in the coffee shop market

£4.8bn

Step 3: Substitute figures into the formula

$$= \frac{£526\text{m}}{£4.8\text{bn}} \times 100$$ **[3]**

$$= 10.96\%$$

- **Market growth** is the **increase in the overall size, value or volume of a market** over a period of time, usually expressed as a percentage
  - This metric considers the size of the whole market/industry as opposed to a single firm's share of the market
- Some common ways to measure market growth include **sales revenue**, **sales volume** or the **number of customers**
- Market growth is calculated using the formula

$$\text{Market growth} = \frac{\text{This year's market sales} - \text{Last year's market sales}}{\text{Last year's market sales}} \text{ x } 100$$

- If the growth rate is **positive**, the market is **getting bigger** (expanding)

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- If the growth rate is **negative**, the market is **getting smaller** (contracting)

Your notes

Worked Example

In 2023, worldwide sales of plug-in hybrid vehicles was 4.27 million units. By 2024 sales had increased to 6.51 million units.

Calculate the rate of market growth in the plug-in hybrid vehicles market.

(2)

Step 1 – Deduct 2023's sales from 2024's sales

$$= 6.51 \text{ million} - 4.27 \text{ million}$$

$$= 2.24 \text{ million}$$

Step 2 – Divide the outcome by 2023's sales

$$= \frac{2.24 \text{ million}}{4.27 \text{ million}}$$ **[1 mark]**

$$= 0.5246$$

Step 3 – Multiply the outcome by 100 to find the percentage growth rate

$$= 0.5246 \times 100$$ **[1 mark]**

$$= 52.46\%$$

- Market growth provides an incentive **for businesses** looking to expand, increase sales and generate higher revenue
- Businesses are often attracted to the potential of growing markets, and they can **become increasingly competitive** quite rapidly

Factors affecting the rate of market growth

Factor	Explanation
Economic conditions	▪ Growth is usually faster when the economy is strong and people have more money to spend
Consumer trends	▪ Changes in lifestyle, fashion or technology can increase demand for certain products
Population growth	▪ More people often means more potential customers, leading to a larger market

Level of competition	▪ In markets with few rivals, businesses may grow quickly; too much competition can slow growth
Technological innovation	▪ New technology can create demand for new products or services, speeding up market growth
Government policies	▪ Supportive laws or subsidies can help markets grow, while strict regulations may slow growth
Availability of substitutes	▪ If there are many alternatives, market growth may be limited as customers have more choice

Your notes

The implications of changes in market share and market growth

Increasing market share

- **Strong brand recognition and customer trust**
  - As a business gains a larger share of the market, more people become aware of the brand, making it easier to attract and keep loyal customers
- **Greater power over prices, especially in less competitive markets**
  - A business with high market share may be seen as a market leader, giving it the ability to charge higher prices without losing many customers
- **Can benefit from economies of scale**
  - Producing and selling more units often reduces the cost per unit, allowing the business to be more efficient and more profitable
- **Attracts more investment and partnerships**
  - Investors and other companies are more likely to work with businesses that dominate the market, as they appear more stable and successful
- **More influence over suppliers and retailers**
  - A larger market share gives the business stronger negotiating power, which can lead to better deals from suppliers and more shelf space in stores

Falling market share

- **Harder to compete with larger rivals**
  - When a business loses market share, it may struggle to keep up with competitors who have more resources and customer loyalty
- **May need to lower prices to attract customers**
  - To win back customers, the business might have to cut prices, which can reduce profit margins

- **Lower profits due to fewer sales and higher costs per unit**
  - Selling fewer products often means each one costs more to make, while total revenue drops, leading to lower profits overall
- **Less visibility in the market**
  - A declining market presence can make the brand less familiar to consumers, reducing interest and trust in the product
- **Might struggle to access good suppliers or distribution channels**
  - Suppliers and retailers may prioritise businesses with higher sales, meaning those with falling market share may get worse terms or less exposure

Your notes

Implications of changes in market growth

Market condition	Implication	Explanation
Growing market	▪ Increased sales opportunities	▪ More demand means businesses can sell more products or services
	▪ Easier to enter or expand	▪ New or smaller firms may find it easier to grow as customer demand is rising
	▪ Potential for higher profits	▪ With more sales, businesses can increase revenue and reduce costs per unit
	▪ Attracts investment	▪ Investors are more willing to support businesses in markets with strong growth
	▪ Encourages innovation	▪ Firms compete by creating new or improved products to win market share
Contracting Market	▪ Falling sales	▪ Overall demand is shrinking, making it harder to maintain sales levels
	▪ Increased competition	▪ Businesses may fight harder over fewer customers, leading to price wars
	▪ Cost-cutting pressure	▪ Firms might need to reduce expenses to stay profitable
	▪ Risk of redundancy and closures	▪ Lower demand could force businesses to downsize or shut down operations

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	▪ Less investment interest	▪ Investors may be cautious or reduce investment in declining markets

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The classification of products

Consumer goods

- **Consumer goods and services** are those that are produced for sale to households and to individuals
- They include
  - **Non-durable convenience goods**
    - Goods that are **used up quickly** and bought frequently, such as bread, milk, or newspapers
  - **Durable goods**
    - Products that last a long time and are used repeatedly, such as furniture, cars, or smartphones
  - **Speciality goods**
    - Unique or high-end products that customers actively seek out, like designer clothing, luxury cars, or rare watches

Industrial goods

- **Industrial goods and services** are those that are produced for sale to other businesses
- They include
  - **Raw materials**
    - Natural resources used at the start of the production process, like timber, crude oil, or cotton
  - **Components**
    - Parts or pieces that are used to make a finished product, such as tyres for a car or microchips for a phone
  - **Capital equipment**
    - Large, expensive machines or tools used to produce goods and services, such as factory machinery or delivery vehicles
  - **Business services and utilities**
    - Essential services that businesses pay for but do not produce themselves, including electricity, internet, or legal advice

Marketing in B2B and B2C markets

- When selling products or services, businesses need to understand whether they are targeting **consumers (B2C)** or **other businesses (B2B)**

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- Both involve making a sale, but there are **significant differences** that affect
  - How products are marketed
  - How decisions are made
  - How relationships are managed

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Key marketing differences in B2B and B2C markets

- **Sales volume and order size**
  - In B2C markets, customers tend to make smaller, one-off purchases
  - In contrast, B2B customers often buy in larger volumes and place regular, repeat orders
    - E.g., a homeowner may purchase a single chair, while a hotel might order 200 chairs to furnish its new premises
- **Buying process and decision-making**
  - The B2C buying process is usually quicker and influenced by emotions, branding, or price
  - B2B purchases involve a more complex and formal process, often requiring approval from several people
    - E.g., a shopper might buy a shampoo because they like the scent, while a supermarket chain would compare suppliers and negotiate prices before choosing which shampoo to stock
- **Marketing and promotion**
  - Marketing to consumers often focuses on emotional appeal, brand image and convenience
  - However, in B2B markets, the focus is more on product features, cost-effectiveness, and long-term value
    - E.g., a fashion brand may use social media influencers to promote its clothes to consumers, while a software company might promote its product to businesses through trade fairs and online demonstrations
- **Customer relationships**
  - B2C relationships are often short-term and based on single purchases
  - B2B relationships tend to be long-term, built on trust, and involve regular communication
- **Price sensitivity and customisation**
  - Consumers in B2C markets are often more sensitive to price changes and tend to look for deals or discounts
  - B2B customers are usually more focused on value for money and may require customised pricing or contracts based on the volume purchased

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    - E.g., a shopper might choose a different brand of cereal because it's on special offer, while a retailer negotiating with a wholesaler may request a lower unit price for buying 1,000 boxes at once
- **Product knowledge and information needs**
    - In B2C sales, customers usually need only basic information to make a decision
    - In B2B transactions, buyers often require detailed product specifications, demonstrations and performance data before making a purchase

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Features of mass and niche markets

Mass markets

- In **mass markets,** products are aimed at broad **market segments** e.g. Kellogg's Cornflakes is an example of a breakfast cereal aimed at the mass market
  - Market segments are groups of consumers who share similar characteristics e.g. age, lifestyle, etc.
  - **Mass marketing** occurs when businesses sell their products to most of the available market
  - Production usually happens on a **large scale**
- Products are **less unique** as they are aimed at broad market segments
  - E.g. **Primark** is an example of a clothing company that focuses its product on the mass market
- **Low average costs** due large scale production **economies of scale**
- Low prices lead to **greater affordability** and higher sales volumes
- Low prices lead to **lower profit margins**

Niche markets

- In **niche markets,** products are aimed at a subset of the larger market, e.g. gluten free products
  - **Niche marketing** occurs when businesses identify and satisfy the demands of a **small group of consumers** within the wider market
  - Production usually happens on a **small scale**
- Products are **specialised** and unique, as they are aimed at narrow market segments
  - E.g. **Louis Vuitton** is an example of a fashion company that aims its products at a **niche market**
- **High average costs** due to small-scale production
  - They do not benefit from **economies of scale**
- High prices make products less affordable and lead to **lower sales volumes**
- High prices can allow businesses to earn higher **profit margins**

Advantages and disadvantages of mass marketing and niche marketing

Mass marketing

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- There is a range of advantages of selling to a wide audience with similar needs
  - Reaching as many customers as possible using standardised products and promotional strategies can be very cost-effective.
  - However, to stand out from the competition, businesses may need to spend heavily on promotional activity and price reductions

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Evaluating mass marketing

Advantages	Disadvantages

▪ **Larger potential customer base**
  ▪ Selling to a broad audience means there are more people who might buy the product, increasing the chances of high sales and profits
▪ **Economies of scale**
  ▪ Producing and selling in large quantities reduces the cost per unit, making production more efficient and increasing profit margins
▪ **Stronger brand awareness**
  ▪ Mass promotion helps build a well-known and trusted brand that is recognised by many consumers
▪ **Simplified marketing**
  ▪ The same product and message can be used for all customers, reducing the cost and complexity of marketing
	▪ **High competition**
	  ▪ Many businesses compete in mass markets, making it hard to stand out and keep customer attention
	▪ **Less customer loyalty**
	  ▪ General products may not fully meet individual needs, so customers might easily switch to competitors
	▪ **Expensive marketing campaigns**
	  ▪ Reaching large audiences through national TV, billboards or online ads can be very costly for businesses

Niche marketing

- Focusing marketing activity on a smaller, clearly defined segment of the market means a business can meet the specific needs of a targeted group of customers, often with specialised products or services
- However, with fewer potential customers and higher unit costs, it can be difficult to make large profits in a niche market

Evaluating niche marketing

Advantages	Disadvantages
▪ **Less competition**	▪ **Smaller customer base**

▪ Fewer businesses operate in niche markets, making it easier to attract and retain customers.
▪ **Stronger customer loyalty**
  ▪ Products are tailored to meet specific needs, helping to build closer and more loyal customer relationships.
▪ **Can charge higher prices**
  ▪ Niche customers are often willing to pay more for exclusive or specialised products
▪ **Clear brand identity**
  ▪ The business can focus its marketing on a specific audience, building a strong and easily recognisable brand
	▪ Limited demand can reduce sales and make it harder to grow the business
	▪ **Higher unit costs**
	  ▪ Smaller-scale production usually means higher costs per item, reducing profit margins
	▪ **Risk of market changes**
	  ▪ If the niche becomes less popular or trends change, the business could lose most of its customers quickly

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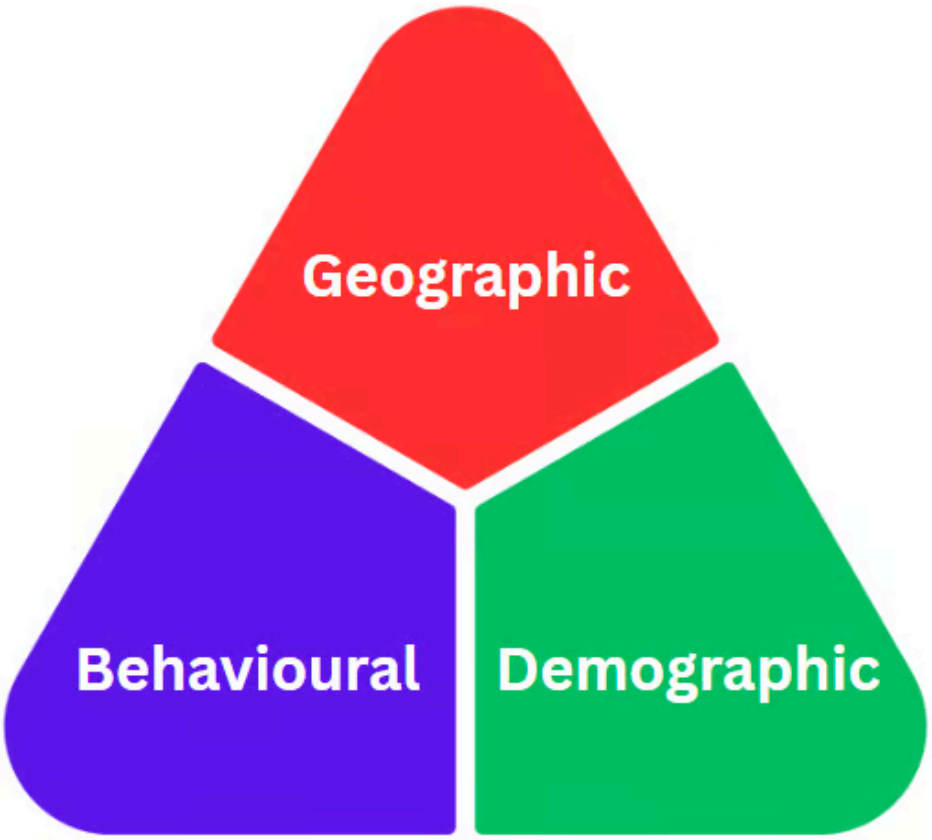
Methods of market segmentation

- **Market segmentation** is the process in which a single market is **divided into submarkets** or "segments"
  - Each segment represents a slightly different set of **consumer characteristics**
  - Firms often segment their markets according to factors such as **income**, **geographical location**, **religion**, **gender** or **lifestyle**
- A market for a good such as crisps is not simply seen as one market
  - For example, the crisp market is divided into many **market segments**
    - **Dinner party snacks** (Walkers Sensations, Pringles, Burts) are targeted at those with higher **discretionary income** with a premium price
    - **Health-conscious crisps** (Walker's Lite, Walkers Baked, Ryvita Lite) are targeted at the health-conscious market
    - **Lunch box value snacks** (multipacks, Hula Hoops, etc.) are targeted at families and the **mass market**

Segmentation methods



Markets can be segmented by geography, customer behaviour and demographics

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Geographic segmentation

- **Geographic segmentation** involves breaking up a market into groups of customers who live, work or spend their leisure time in defined **locations**
  - **Urban** and rural customers' needs relate to their surroundings
    - E.g. **city-dwellers** are likely to purchase **small, electric vehicles**, while those who live in the **countryside** tend to prefer **larger, all-terrain vehicles**
  - Customers in warmer countries make different purchasing decisions to those living in cooler climates
    - E.g. sales of **air-conditioning units** in **Italy** and **Turkey** are significantly higher than in **Germany** and the **UK**
  - Within a country, customers living in different regions have varied preferences
    - E.g. **France** is well-known for its regional **food specialties,** with residents of southern *départements* generally preferring a Mediterranean diet, whilst those in more northern regions consume more dairy products and red meat

Behavioural segmentation

- Customers make different **lifestyle**, **health** or **dietary** choices that can provide opportunities for businesses
  - E.g. **travel companies** target different packages at families, thrill-seekers and those looking to pursue a specialist interest such as cuisine or art
  - **Beyond Meat**'s entire product range is aimed at vegans, vegetarians and flexitarians cutting down on animal protein
    - Its plant-based burgers and sausages are sold in supermarket meat aisles
- Some purchasing decisions are based on thorough research, whilst others tend to be **impulse buys**
  - E.g. home store **Dunelm** places low-priced household essentials such as dusters and scented candles close to the checkout area
- Other behavioural factors include
  - the **frequency of purchase**
    - E.g. whether customers buy a product often or as a one-off, for regular consumption or as an occasional treat
  - whether customers are **brand loyal**
    - E.g. those that stick with the same brand may be rewarded with loyalty benefits, such as points for each £ spent, while those that switch brands may be attracted by special offers, such as BOGOF (Buy One Get One Free)

Demographic segmentation

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- **Demographic segmentation** involves breaking up a market into groups of customers with **similar characteristics**, such as **age**, **gender** and **family circumstances**
  - **Men and women** often have different purchasing preferences
    - Men tend to spend more than women when shopping
    - Women are more **price-sensitive** shoppers than men, buying more reduced-price items and using price promotions more frequently
  - As **populations age**, spending patterns are changing
    - Spending on **specialist services** such as personal care and single-person travel has increased significantly
  - Many products are aimed at different age groups, who are likely to have different interests, influences and **spending power**
    - E.g. in 2022, consumers in the United States spent an average of $1,945 on clothing, with most being spent by the generation born between 1965 and 1980, known as **Generation X**
  - Many countries have increasingly **ethnically diverse** populations
    - Markets for **clothing, food** and **celebration items** can be targeted at specific ethnic or religious groups

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Advantages and disadvantages of market segmentation

Advantages	Disadvantages
▪ **Recognises that consumers are not all identical** ▪ This allows businesses to treat customers as individuals with different needs, rather than using a one-size-fits-all approach ▪ E.g. A sports brand can create different marketing campaigns for runners, gym-goers, and footballers	▪ **Not everyone within a segment will behave in the same way** ▪ Just because people share certain characteristics doesn't mean they will all make the same buying choices. ▪ E.g. Two teenagers may be the same age, but one prefers gaming and the other prefers sports
▪ **Consumer groups do not all share the same tastes and preferences** ▪ Segmentation helps businesses adapt products to suit different lifestyles, cultures, and buying habits	▪ **It may be difficult to identify a segment, and consumers may belong to multiple segments** ▪ This makes it harder to design a focused marketing message that works for all individuals within overlapping segments

▪ E.g. A food company may offer spicy options in regions where spicy food is popular, and milder options elsewhere	▪ E.g. A working parent might fit into both 'budget-conscious' and 'family-focused' segments, making targeting less straightforward
▪ **Products and marketing activities can be altered to meet the different needs of diverse groups** ▪ Businesses can target their messages more precisely and design features that appeal directly to specific groups ▪ E.g. Airlines often segment by travel class, offering different levels of service to economy and business passengers.	▪ **Segmentation requires more detailed marketing research, which can prove costly** ▪ Market research takes time, money, and expertise – but it can provide useful insights when done properly ▪ E.g. A travel agency targeting solo travellers may need to run surveys or focus groups to understand their needs.
▪ **Less expensive and wasteful than marketing to wide market segments** ▪ Focusing marketing only on likely buyers saves money and avoids advertising to uninterested consumers ▪ E.g. A luxury car brand targets high-income individuals rather than spending money promoting to the general public.	▪ **A segment may be identified but may be too small and unprofitable to cater to** ▪ If the group is too niche, the business may not generate enough revenue to cover its costs ▪ E.g. A company developing cricket gear for left-handed players might find the market too limited to be worth the investment.

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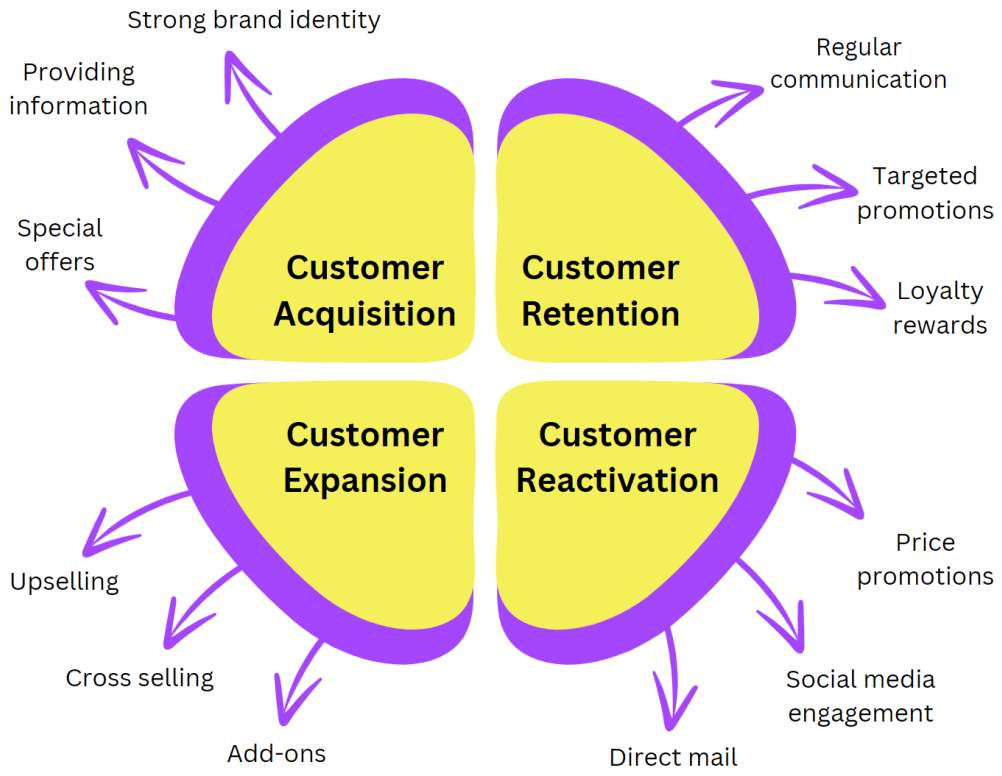
The aims of CRM

- **Customer relationship marketing** (CRM) involves a business focusing their marketing efforts around **building a deep understanding of customers, consistently meeting customer needs** and **developing long-term customer loyalty**
- Marketing strategies and tactics are focused on **four key areas**

CRM strategies and tactics



Customer relationship marketing involves the acquisition, retention, expansion and reactivation of customers

Customer acquisition

- **Attracting interested consumers** and **converting** them into **customers** to achieve growth, make money and improve chances of business survival
- Businesses can acquire customers in many different ways, including
  - Building a strong **brand identity**
  - Delivering excellent **customer experiences**
  - Providing clear **information**
  - Offering special **rewards,** such as price promotions

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Customer retention

- **Customer retention** involves encouraging customers to **remain loyal to a business** and its brands **over time**
- Encouraging loyalty is important for several reasons
  - **Attracting new customers often costs more** than retaining current customers
  - Loyal customers tend to be valuable repeat customers
  - Retained customers can refer new customers to a business
    - **Word-of-mouth marketing** is a form of free marketing for a brand
    - Happy customers talking about a business or brand in positive ways can help persuade people they know to become loyal customers as well
- Businesses can retain customers in many different ways, including
  - Customer **loyalty schemes**
  - Regular **communication** about new products or promotional offers
  - Targeted **price promotions** or other **perks** for existing customers

Customer expansion

- Customer expansion is the process of encouraging **existing customers** to **increase the value and frequency of their spending** on products and services over time
- Businesses can achieve customer expansion in several different ways, including
  - **Upselling** by encouraging customers to upgrade to premium products
  - **Cross-selling** by offering customers a related product or service
  - Providing **add-ons** such as insurance policies, extra features or extended warranties

Customer reactivation

- **Customer reactivation** involves **reaching out** to customers who have **previously expressed interest in or purchased a product** but have since become **disengaged**
- **Businesses can adopt a range of techniques to reactivate customers, including**
  - Social media engagement
  - Targeted price promotions for returning customers
  - Direct mailings via post or email

Costs and benefits of CRM

Benefits of CRM

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- **CRM allows a business to build a detailed understanding of its customers' needs and preferences**
  - This helps the business to tailor its products, services and promotional activity more precisely, increasing the chances of customer satisfaction and repeat sales
    - E.g. A clothing retailer might use CRM data to send personalised offers based on a customer's past purchases
- **Retaining loyal customers is usually more cost-effective than attracting new ones**
  - CRM focuses on building long-term relationships with existing customers, which reduces marketing costs
    - E.g. A mobile phone company offering exclusive upgrades to loyal users instead of spending heavily on advertising to new customers

Costs of CRM

- **CRM requires significant investment in staff training and development**
  - To deliver consistently good customer service, employees need to understand the CRM system and be committed to meeting customer expectations at every stage of the buying process
    - E.g. Hotel staff may need to learn how to use CRM software to remember guest preferences and deliver a personalised experience.
- **CRM is unlikely to succeed without ongoing, expensive customer research**
  - For CRM to be effective, the business must constantly collect, update and analyse customer data, which can be time-consuming and costly
    - E.g. An airline may need to invest heavily in customer surveys, feedback tools, and data analytics to truly understand traveller needs.

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